

Kingsoft Office (A)

2Q26 results in-line; robust WPS 365 growth and accelerating to-C momentum

Reiterate Rating: BUY | PO: 340.00 CNY | Price: 247.13 CNY

2Q26 results in-line; solid revenue & core earnings growth

Kingsoft Office reported in-line 1H26 results compared to its profit alert (see [report](#)) after market close on 19 Aug (Wed). Revenue increased 25% YoY to Rmb1.7bn in 2Q26, mainly driven by rapid growth of WPS 365 business and WPS software business, as well as solid WPS individual business growth. Excluding share-based compensation expenses, fund investment gains and related tax, core earnings grew 24% to Rmb507mn in 2Q26, with core NPM slightly down 0.3ppt YoY to 29.8%. We raise our FY26-28E revenue forecasts by 3% given stronger WPS 365 and WPS software growth. Our DCF-based PO is adjusted to Rmb340 (from Rmb336). We reiterate our Buy rating on Kingsoft Office given solid revenue growth along with promising AI monetization on continuous product upgrade which outweighs market concerns on AI disruption risks.

Rapid WPS 365 & software growth; WPS to-C accelerated

WPS 365 revenue surged 60% YoY to Rmb253mn in 2Q26 (vs. +62% YoY in 1Q26), with further customer base expansion in POEs, local SOEs and foreign enterprises. WPS software revenue grew 34% YoY to Rmb375mn in 2Q26 (vs. +32% YoY in 1Q26), benefiting from government's Xinchuang procurement for office software, and rising demand for digitalization and intelligent transformation. Revenue of WPS individual business grew 17% YoY to Rmb1.04bn in 2Q26 (vs. +14% YoY in 1Q26). Monthly active devices of WPS globally increased 4% YoY (or +1% QoQ) to 676mn in 2Q26, including 244mn from overseas market. Accumulated annual paying individual subscribers in domestic market increased 15% YoY to 48.25mn as of 1H26-end.

OPM expansion on operating leverage despite lower GPM

GPM declined 0.9ppt YoY to 83.3% in 2Q26, due to higher usage of AI product features by customers, in our view. For opex, S&M expenses increased 24% YoY (19.1% of 2Q26 revenue, -0.2ppt YoY), G&A expenses grew 25% YoY (8.4% of 2Q26 revenue, flat YoY), and R&D expenses rose 19% YoY (34.1% of 2Q26 revenue, -1.9ppts YoY). Overall, OPM improved 1.4ppts YoY to 20.7% in 2Q26 thanks to operating leverage.

Estimates (Dec) (CNY)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	1,556	1,803	2,303	3,051	3,660
EPS	3.56	3.96	8.55	6.64	7.96
EPS Change (YoY)	24.6%	11.5%	115.6%	-22.3%	19.8%
Dividend / Share	0.899	1.25	2.56	1.99	2.39
Free Cash Flow / Share	4.37	5.19	6.38	7.93	9.59
Valuation (Dec)					
P/E	69.48x	62.33x	28.92x	37.22x	31.06x
Dividend Yield	0.364%	0.507%	1.04%	0.806%	0.966%
EV / EBITDA*	82.98x	76.46x	58.37x	42.70x	34.75x
Free Cash Flow Yield*	1.76%	2.10%	2.58%	3.20%	3.87%

* For full definitions of *IQmethod*SM measures, see page 7.

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Refer to important disclosures on page 8 to 10. Analyst Certification on page 5. Price Objective Basis/Risk on page 5.

13010093

20 August 2026

Equity

Key Changes

(CNY)	Previous	Current
Price Obj.	336.00	340.00
2026E EPS	8.44	8.55
2027E EPS	6.49	6.64
2028E EPS	7.73	7.96
2026E EBITDA (m)	1,846.9	1,899.5
2027E EBITDA (m)	2,524.2	2,596.3
2028E EBITDA (m)	3,082.6	3,190.9

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Stock Data

Price	247.13 CNY
Price Objective	340.00 CNY
Date Established	20-Aug-2026
Investment Opinion	C-1-7
52-Week Range	200.00 CNY-415.00 CNY
Mrkt Val / Shares Out (mn)	17,007 USD / 464.0
Market Value (mn)	114,672 CNY
Average Daily Value (mn)	473.49 USD
Free Float	41.6%
BofA Ticker / Exchange	XBKOF / SHH
Bloomberg / Reuters	688111 CH / 688111.SS
ROE (2026E)	15.8%
Net Dbt to Eqty (Dec-2025A)	-5.4%

G&A: general and administrative

POE: privately-owned enterprise

SOE: state-owned enterprise

S&M: sales and marketing

R&D: research and development

iQprofileSM Kingsoft Office (A)

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(CNY Millions)					
Sales	5,121	5,929	7,214	8,583	9,904
Gross Profit	4,360	5,096	6,227	7,431	8,583
Sell General & Admin Expense	(1,394)	(1,613)	(1,898)	(2,104)	(2,329)
Operating Profit	1,221	1,322	1,773	2,449	3,023
Net Interest & Other Income	529	630	2,405	797	866
Associates	NA	NA	NA	NA	NA
Pretax Income	1,750	1,953	4,178	3,246	3,889
Tax (expense) / Benefit	(95)	(131)	(251)	(195)	(233)
Net Income (Adjusted)	1,556	1,803	2,303	3,051	3,660
Average Fully Diluted Shares Outstanding	462	463	463	463	463

Key Cash Flow Statement Data

Net Income	1,645	1,836	3,959	3,076	3,685
Depreciation & Amortization	115	128	127	147	168
Change in Working Capital	542	759	1,223	1,190	1,399
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	(106)	(222)	(2,239)	(624)	(698)
Cash Flow from Operations	2,196	2,502	3,070	3,789	4,554
Capital Expenditure	(175)	(98)	(115)	(114)	(111)
(Acquisition) / Disposal of Investments	(4,099)	(1,869)	2,200	581	640
Other Cash Inflow / (Outflow)	0	0	1	1	1
Cash Flow from Investing	(4,274)	(1,967)	2,086	468	529
Shares Issue / (Repurchase)	62	66	0	0	0
Cost of Dividends Paid	(406)	(482)	(538)	(1,132)	(854)
Cash Flow from Financing	(501)	(735)	(538)	(1,132)	(854)
Free Cash Flow	2,021	2,404	2,955	3,675	4,443
Net Debt	(898)	(694)	(5,312)	(8,437)	(12,666)
Change in Net Debt	2,579	203	(4,618)	(3,125)	(4,229)

Key Balance Sheet Data

Property, Plant & Equipment	297	453	432	407	376
Other Non-Current Assets	9,512	6,496	6,505	6,497	6,472
Trade Receivables	505	636	697	829	861
Cash & Equivalents	898	694	5,312	8,437	12,666
Other Current Assets	4,702	9,876	9,865	9,852	9,837
Total Assets	15,913	18,156	22,812	26,023	30,212
Long-Term Debt	0	0	0	0	0
Other Non-Current Liabilities	1,014	1,361	1,631	1,919	2,197
Short-Term Debt	0	0	0	0	0
Other Current Liabilities	3,462	3,942	4,980	6,039	7,217
Total Liabilities	4,476	5,302	6,611	7,959	9,415
Total Equity	11,437	12,853	16,201	18,064	20,797
Total Equity & Liabilities	15,913	18,156	22,812	26,023	30,212

iQmethodSM - Bus Performance*

Return On Capital Employed	9.6%	8.9%	10.2%	11.9%	12.9%
Return On Equity	14.6%	14.9%	15.8%	17.8%	18.8%
Operating Margin	23.9%	22.3%	24.6%	28.5%	30.5%
EBITDA Margin	26.1%	24.5%	26.3%	30.3%	32.2%

iQmethodSM - Quality of Earnings*

Cash Realization Ratio	1.4x	1.4x	1.3x	1.2x	1.2x
Asset Replacement Ratio	2.0x	1.1x	1.1x	0.9x	0.8x
Tax Rate (Reported)	5.4%	6.7%	6.0%	6.0%	6.0%
Net Debt-to-Equity Ratio	-7.9%	-5.4%	-32.8%	-46.7%	-60.9%
Interest Cover	NA	NM	NA	NA	NA

Key Metrics

* For full definitions of iQmethodSM measures, see page 7.

Company Sector

PC Software

Company Description

Kingsoft Office is a China-based office software products and services provider, serving individuals (to-C), enterprises (to-B), and government (to-G). The company's main product is WPS Office series office software (an alternative to Microsoft Office), which could be applied on many mainstream operating platforms, such as Windows, Linux, MacOS, Android, iOS, and Harmony OS.

Investment Rationale

We rate Kingsoft Office at Buy as we are positive on its growth outlook, driven by 1) rapid WPS 365 business growth with client base expansion (e.g., more local SOEs) and product upgrade into a one-stop AI collaborative office platform, 2) solid WPS to-C business growth with accelerated AI monetization in domestic market and strong user base growth in overseas market, and 3) promising WPS software business growth in coming two years with more Xinchuang opportunities.

Stock Data

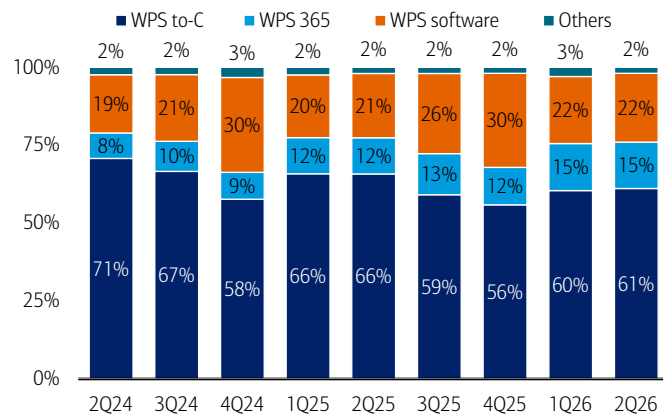
Price to Book Value

7.1x



Exhibit 1: Revenue contribution from WPS to-C / WPS 365 business / WPS software was 61% / 15% / 22% in 2Q26

Kingsoft Office - Revenue breakdown by segment (2Q24-2Q26)

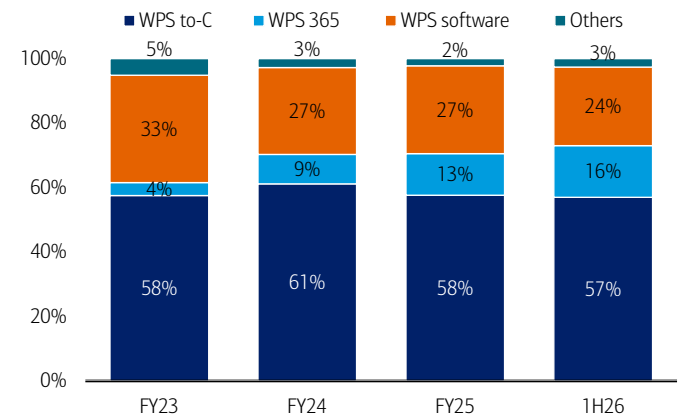


Source: Company, BofA Global Research

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Exhibit 2: WPS 365 business contributed rising portion of total gross profit

Kingsoft Office - Gross profit breakdown by segment

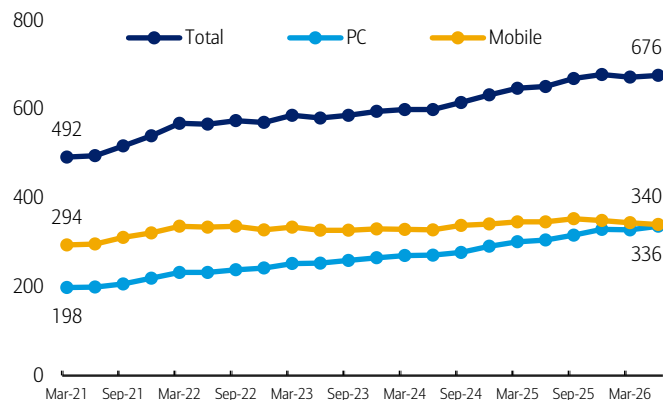


Source: Company, BofA Global Research

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Exhibit 3: Monthly active devices of WPS globally slightly grew 1% QoQ to 676mn in 2Q26

Kingsoft Office - Monthly active devices of WPS globally by quarter (mn, 1Q21-2Q26)

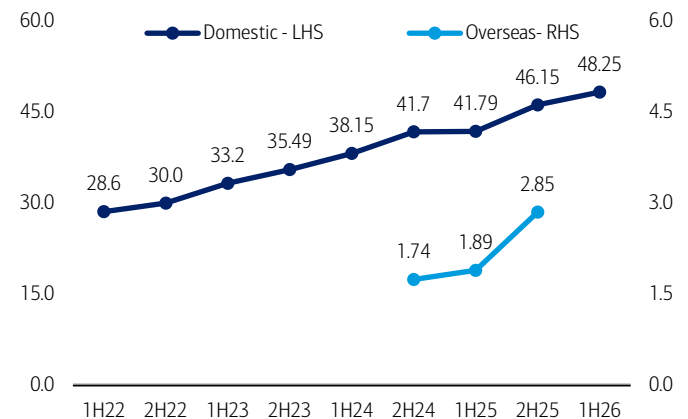


Source: Company, BofA Global Research

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Exhibit 4: The number of cumulative annual paying users increased 15% YoY in domestic market in 1H26

Kingsoft Office - Cumulative annual paying user (mn)



Source: Company, BofA Global Research

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Exhibit 5: We raise our FY26-28E revenue forecast by 3%

Kingsoft Office: Estimates revision

(RMB mn)	FY26E			FY27E			FY28E		
	New	Old	Diff (%)	New	Old	Diff (%)	New	Old	Diff (%)
Revenue	7,214	7,022	2.7	8,583	8,356	2.7	9,904	9,595	3.2
Net profit	3,959	3,908	1.3	3,076	3,007	2.3	3,685	3,582	2.9
Adjusted net profit	2,303	n/a	n/a	3,051	n/a	n/a	3,660	n/a	n/a

Source: BofA Global Research estimates

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Exhibit 6: Revenue increased 25% YoY to Rmb1.7bn in 2Q26

Kingsoft Office - quarterly results

(Rmb mn)	1Q25	YoY %	2Q25	YoY %	3Q25	YoY %	4Q25	YoY %	1Q26	YoY %	2Q26	YoY %
WPS To-C	857	10.9%	891	6.1%	899	11.2%	978	13.5%	975	13.8%	1,039	16.6%
WPS 365	151	62.6%	158	62.0%	201	71.6%	210	62.8%	244	61.6%	253	60.1%
WPS software	262	-21.0%	280	26.2%	391	50.5%	529	16.1%	347	32.4%	375	34.2%
Others	31	13.3%	27	-6.1%	30	6.8%	34	-30.5%	47	50.1%	33	23.0%
Total revenue	1,301	6.2%	1,356	14.1%	1,521	25.3%	1,750	17.2%	1,613	24.0%	1,700	25.4%
Cost of revenue	(183)	-1.9%	(215)	21.0%	(206)	16.8%	(229)	4.1%	(216)	18.3%	(284)	32.2%
Gross profit	1,119	7.7%	1,141	12.9%	1,315	26.8%	1,521	19.4%	1,397	24.9%	1,416	24.1%
Gross margin (%)	86.0%	1.2ppt	84.1%	-0.9ppt	86.5%	1.0ppt	86.9%	1.6ppt	86.6%	0.6ppt	83.3%	-0.9ppt
Sales and marketing expenses	(217)	0.6%	(261)	15.5%	(290)	18.8%	(371)	21.6%	(273)	25.6%	(325)	24.4%
% of revenue	16.7%	-0.9ppt	19.3%	0.2ppt	19.1%	-1.1ppt	21.2%	0.8ppt	16.9%	0.2ppt	19.1%	-0.2ppt
General and administrative expenses	(104)	-7.8%	(115)	8.6%	(122)	28.5%	(133)	49.3%	(134)	28.3%	(143)	25.1%
% of revenue	8.0%	-1.2ppt	8.5%	-0.4ppt	8.0%	0.2ppt	7.6%	1.6ppt	8.3%	0.3ppt	8.4%	0.0ppt
Research and development expenses	(470)	16.2%	(488)	21.2%	(536)	18.1%	(601)	38.4%	(572)	21.6%	(580)	18.8%
% of revenue	36.1%	3.1ppt	36.0%	2.1ppt	35.2%	-2.2ppt	34.3%	5.3ppt	35.4%	-0.7ppt	34.1%	-1.9ppt
Business tax	(12)	29.9%	(15)	72.4%	(15)	38.6%	(23)	11.0%	(13)	15.1%	(15)	5.3%
Operating profit	315	6.4%	262	-1.9%	351	50.9%	394	-7.4%	405	28.5%	352	34.3%
Operating margin (%)	24.2%	0.0ppt	19.3%	-3.2ppt	23.1%	3.9ppt	22.5%	-6.0ppt	25.1%	0.9ppt	20.7%	1.4ppt
Net profit	403	9.8%	344	-2.8%	431	35.4%	658	8.7%	2,195	445.0%	322	-6.4%
Net margin (%)	31.0%	1.0ppt	25.4%	-4.4ppt	28.3%	2.1ppt	37.6%	-2.9ppt	136.1%	105.1ppt	19.0%	-6.4ppt

Source: Company, BofA Global Research

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Exhibit 7: Since listing in Nov 2019, Kingsoft Office has traded at a mean of 112x 12mths forward P/E, and it is currently at 41x

Kingsoft Office - P/E chart (Nov 2019 - Aug 2026)



Source: Bloomberg, BofA Global Research estimates

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Exhibit 8: Since listing in Nov 2019, Kingsoft Office has traded at a mean of 31x 12mths forward P/S, and it is currently at 14x

Kingsoft Office - P/S chart (Nov 2019 - Aug 2026)



Source: Bloomberg, BofA Global Research estimates

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Price objective basis & risk

Kingsoft Office (XBKOF)

Our PO of RMB340 is based on a discounted cash flow (DCF) valuation methodology for Kingsoft Office given its strong profitability and free cash flow. We use a discount rate of 10.1% and terminal growth rate of 4%, the latter given its strong pricing power arising from its market-leading position.

Upside risks: (1) stronger-than-expected ARPU and paying user growth from WPS AI, (2) faster-than-expected SaaS subscription penetration among enterprise customers, and (3) stronger-than-expected recovery of Xinchuang demand.

Downside risks: (1) slower-than-expected user acceptance of AI-powered WPS Office as it may take time to change working practices/habits, (2) weaker-than-expected demand from Xinchuang, and (3) competition threat from other AI-powered software.

Analyst Certification

I, Daley Li, CFA, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

APR - Internet, Media and Software Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY	Agora	API	API US	Daley Li, CFA
	Alibaba Group	BABA	BABA US	Joyce Ju
	Alibaba Group	BABAF	9988 HK	Joyce Ju
	Alibaba Health	ALBHF	241 HK	Miranda Zhuang, CFA
	Baidu.com	BIDU	BIDU US	Miranda Zhuang, CFA
	Baidu.com	BAIDF	9888 HK	Miranda Zhuang, CFA
	Bilibili	BILI	BILI US	Alex Liu
	Bilibili	BLBLF	9626 HK	Alex Liu
	CAR Group	CRSLF	CAR AU	Sriharsh Singh
	Coupang	CPNG	CPNG US	Ahyung Cho
	Damai Entertainment	ABPGF	1060 HK	Harry Zhuang
	Delhivery	XDVLF	DELHIVER IN	Sachin Salgaonkar
	East Money	XEQTF	300059 CH	Michael Li
	Eternal	XMWRF	ETERNAL IN	Sachin Salgaonkar
	Grab Holdings	GRAB	GRAB US	Sachin Salgaonkar
	HYBE	XBGOF	352820 KS	Sun Jung Lee
	JD Health	JDHIF	6618 HK	Miranda Zhuang, CFA
	JD Industrials	XJIIF	7618 HK	Miranda Zhuang, CFA
	JD.com	JD	JD US	Joyce Ju
	JD.com	JDCMF	9618 HK	Joyce Ju
	KE Holdings	BEKE	BEKE US	Miranda Zhuang, CFA
	KE Holdings	XSQRF	2423 HK	Miranda Zhuang, CFA
	Kingdee International Software	KGDEF	268 HK	Daley Li, CFA
	Kingsoft Cloud	KC	KC US	Daley Li, CFA
	Kingsoft Cloud	KCLHF	3896 HK	Daley Li, CFA
	Kingsoft Office	XBKOF	688111 CH	Daley Li, CFA
	Knowledge Atlas Technology	KATJF	2513 HK	Alex Liu
	Krafton	XKINF	259960 KS	Jinhan Chun
	Kuaishou	KUASF	1024 HK	Miranda Zhuang, CFA
	Life360	LIFX	360 AU	Sriharsh Singh
	Makemytrip Limited	MMYT	MMYT US	Sachin Salgaonkar
	Meitu Inc.	MEIUF	1357 HK	Harry Zhuang
	MiniMax	MNMXF	100 HK	Alex Liu
	NAVER Corporation	NHNCF	035420 KS	Ahyung Cho
	NetEase	NETTF	9999 HK	Alex Liu
	NetEase, Inc	NTES	NTES US	Alex Liu



APR - Internet, Media and Software Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Paytm	XUXBF	PAYTM IN	Sachin Salgaonkar
	Plan B Media PCL	XMKTf	PLANB TB	Suppamong Iemkongaek, CFA, CMT
	Sea Limited	SE	SE US	Sachin Salgaonkar
	Seek Limited	SKLTF	SEK AU	Sriharsh Singh
	Tencent Holdings	TCTZF	700 HK	Alex Liu
	The ONE Enterprise	XUFCF	ONEE TB	Suppamong Iemkongaek, CFA, CMT
	Tongcheng Travel	TNGCF	780 HK	Joyce Ju
	Trip.com Group	TCOM	TCOM US	Joyce Ju
	Trip.com Group	TRPCF	9961 HK	Joyce Ju
	TUHU Car	XTCRF	9690 HK	Miranda Zhuang, CFA
	Vipshop Holdings	VIPS	VIPS US	Joyce Ju
	Xero Limited	XROLf	XRO AU	Sriharsh Singh
	Zip Co Limited	ZIZTF	ZIP AU	Ware Kuo

NEUTRAL

	Chinasoft International	CFTLF	354 HK	Daley Li, CFA
	GoTo Group	GTOFF	GOTO IJ	Sachin Salgaonkar
	Hundsun Technologies	XYTGF	600570 CH	Daley Li, CFA
	Info Edge	IFOEF	INFOE IN	Sachin Salgaonkar
	JYP Entertainment	ALNNF	035900 KS	Sun Jung Lee
	Kakao Corp.	DAUCF	035720 KS	Ahyung Cho
	Kanzhun Ltd.	XKLRF	2076 HK	Miranda Zhuang, CFA
	Kanzhun Ltd.	BZ	BZ US	Miranda Zhuang, CFA
	Kingsoft Corporation	KSFTF	3888 HK	Daley Li, CFA
	Maoyan Entertainment	MAOFF	1896 HK	Harry Zhuang
	Meituan	MPNGF	3690 HK	Joyce Ju
	Ming Yuan Cloud	XWTAF	909 HK	Daley Li, CFA
	NC	NCSCF	036570 KS	Jinhan Chun
	Nykkaa	XQQGF	NYKAA IN	Sachin Salgaonkar
	PB Fintech	XPFXF	POLICYBZ IN	Sachin Salgaonkar
	Pinduoduo Inc.	PDD	PDD US	Joyce Ju
	REA Group	RPGRF	REA AU	Sriharsh Singh
	SM Entertainment	SMEZF	041510 KS	Sun Jung Lee
	Tencent Music	TME	TME US	Alex Liu
	Tencent Music	TCMEF	1698 HK	Alex Liu
	Urban Company	XURBF	URBANCO IN	Sachin Salgaonkar
	Weimob	WEMXF	2013 HK	Daley Li, CFA
	WiseTech Global Limited	WTCHF	WTC AU	Sriharsh Singh
	YG Entertainment	XYEIF	122870 KS	Sun Jung Lee
	Yonyou Network	XYNIF	600588 CH	Daley Li, CFA

UNDERPERFORM

	Autohome	ATHM	ATHM US	Miranda Zhuang, CFA
	Autohome	XXYZF	2518 HK	Miranda Zhuang, CFA
	DBAPPSecurity	XDBAF	688023 CH	Daley Li, CFA
	Glodon Company	XGCOF	002410 CH	Daley Li, CFA
	NavInfo	XWLHF	002405 CH	Daley Li, CFA
	Ping An Healthcare and Technology	PANHf	1833 HK	Miranda Zhuang, CFA
	Qi An Xin	XQTDF	688561 CH	Daley Li, CFA
	Technology One Limited	THNOF	TNE AU	Ware Kuo
	ThunderSoft	XSTSf	300496 CH	Daley Li, CFA
	Venustech	XVCGF	002439 CH	Daley Li, CFA
	Weibo Corporation	WB	WB US	Miranda Zhuang, CFA
	Weibo Corporation	WEIBF	9898 HK	Miranda Zhuang, CFA



iQmethodSM Measures Definitions

Business Performance

Return On Capital Employed

Return On Equity

Operating Margin

Earnings Growth

Free Cash Flow

Quality of Earnings

Cash Realization Ratio

Asset Replacement Ratio

Tax Rate

Net Debt-To-Equity Ratio

Interest Cover

Valuation Toolkit

Price / Earnings Ratio

Price / Book Value

Dividend Yield

Free Cash Flow Yield

Enterprise Value / Sales

EV / EBITDA

Numerator

$\text{NOPAT} = (\text{EBIT} + \text{Interest Income}) \times (1 - \text{Tax Rate}) + \text{Goodwill Amortization}$

Net Income

Operating Profit

Expected 5 Year CAGR From Latest Actual

Cash Flow From Operations – Total Capex

Numerator

Cash Flow From Operations

Capex

Tax Charge

Net Debt = Total Debt – Cash & Equivalents

EBIT

Numerator

Current Share Price

Current Share Price

Annualised Declared Cash Dividend

Cash Flow From Operations – Total Capex

$\text{EV} = \text{Current Share Price} \times \text{Current Shares} + \text{Minority Equity} + \text{Net Debt} +$

Other LT Liabilities

Enterprise Value

Denominator

$\text{Total Assets} - \text{Current Liabilities} + \text{ST Debt} + \text{Accumulated Goodwill}$

Amortization

Shareholders' Equity

Sales

N/A

N/A

Denominator

Net Income

Depreciation

Pre-Tax Income

Total Equity

Interest Expense

Denominator

Diluted Earnings Per Share (Basis As Specified)

Shareholders' Equity / Current Basic Shares

Current Share Price

$\text{Market Cap} = \text{Current Share Price} \times \text{Current Basic Shares}$

Sales

Basic EBIT + Depreciation + Amortization

iQmethodSM is the set of BofA Global Research standard measures that serve to maintain global consistency under three broad headings: Business Performance, Quality of Earnings, and validations. The key features of iQmethod are: A consistently structured, detailed, and transparent methodology. Guidelines to maximize the effectiveness of the comparative valuation process, and to identify some common pitfalls.

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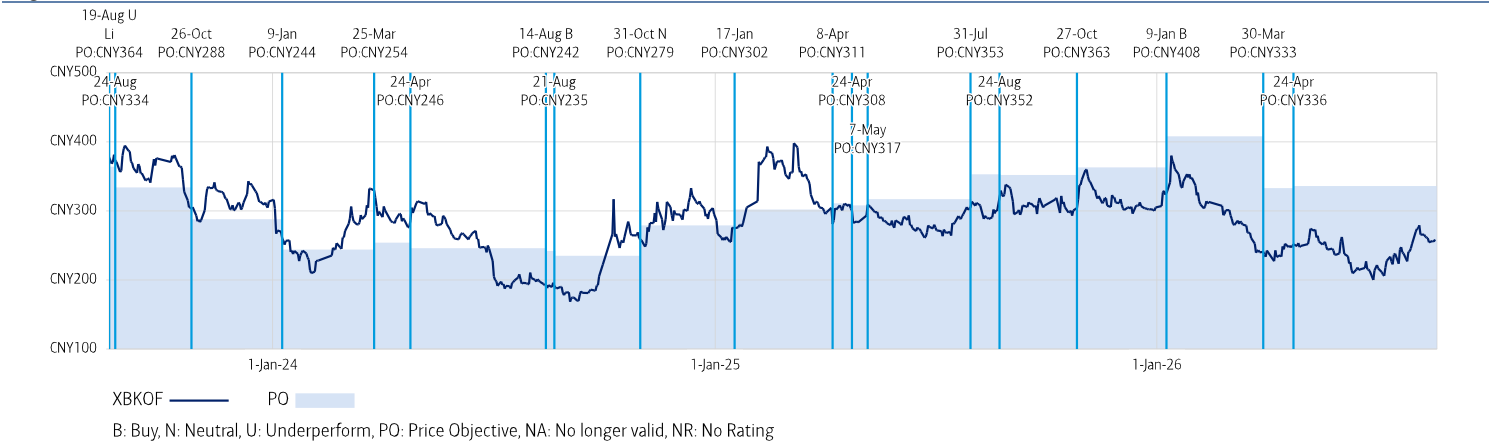
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Equity Investment Rating Distribution: Technology Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	243	60.60%	Buy	123	50.62%
Hold	87	21.70%	Hold	45	51.72%
Sell	71	17.71%	Sell	21	29.58%

Equity Investment Rating Distribution: Global Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1987	56.11%	Buy	1190	59.89%
Hold	797	22.51%	Hold	496	62.23%
Sell	757	21.38%	Sell	391	51.65%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
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Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

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